Executive Summary – Customer Churn Analysis

This analysis was performed to understand customer behavior and identify the major factors contributing to customer attrition. Out of the total customer base, **26.54% of customers have churned**, while **73.46% have been retained**, indicating that nearly one out of every four customers leaves the service.

Key Findings

📌 Overall Churn

- **26.54%** of customers have discontinued the service.
- **73.46%** remain active customers.
- Although the majority of customers are retained, the churn rate is substantial enough to impact long-term revenue and growth.

👴 Senior Citizen Segment

- Senior citizens represent a smaller portion of the customer base but exhibit a noticeably higher churn rate than non-senior customers.
- A significantly larger percentage of senior customers leave the service, making this group more vulnerable to churn.
- This suggests the need for targeted support and customer engagement programs for elderly customers.

⏳ Customer Tenure

- Customers with **1–2 months of tenure** account for a disproportionately high share of churn.
- Customers who have stayed with the company for longer durations are considerably less likely to leave.

- The analysis indicates that customer loyalty increases with tenure, highlighting the importance of improving the onboarding experience and customer satisfaction during the initial months.

📄 Contract Type

Contract duration has one of the strongest relationships with churn:

- **Month-to-month contract customers exhibit the highest churn rate.**
- Customers with **one-year and two-year contracts show substantially better retention**.
- Long-term contracts provide stability and reduce the likelihood of customers switching to competitors.

This suggests that encouraging customers to move from monthly plans to annual plans can significantly improve retention.

🌐 Internet Service and Additional Features

Internet Type

- Customers using **Fiber Optic Internet** have a comparatively higher tendency to churn than DSL users.
- This may indicate issues related to pricing, service quality, or customer expectations.

Online Security

- Customers without **Online Security** services are far more likely to leave.
- Subscribers using this service demonstrate much stronger retention.

Tech Support

- Similar to Online Security, customers lacking **Tech Support** exhibit higher churn rates.
- Customers with access to technical support are more likely to remain loyal.

Other Services

Services such as:

- Streaming TV
- Streaming Movies
- Device Protection
- Phone Service
- Multiple Lines

show relatively balanced distributions between churned and retained customers. Their impact on churn appears less pronounced compared to support and security services.

💳 Payment Method

Payment method also influences customer retention:

- Customers using **Electronic Check** have the highest churn rates among all payment methods.
- Customers paying through automatic bank transfers, credit cards, or mailed checks demonstrate better retention.

This pattern suggests that customers using electronic checks may experience lower satisfaction or belong to customer segments more likely to switch providers.

Major Drivers of Customer Churn

Based on the analysis, the primary factors associated with churn are:

Factor	Impact on Churn
Short tenure (1–2 months)	High
Month-to-month contracts	High
No Online Security service	High
No Tech Support service	High
Fiber Optic Internet users	Moderate to High
Electronic Check payment method	High
Senior Citizen customers	Moderate

Business Recommendations

✅ Strengthen Early Customer Engagement

Since most churn occurs during the first few months, improving onboarding, customer education, and initial support can help reduce early attrition.

✅ Promote Long-Term Contracts

Providing discounts or incentives for annual and two-year plans can improve customer retention and reduce dependency on month-to-month subscriptions.

✅ Bundle Value-Added Services

Offering Online Security and Tech Support packages at attractive prices can increase customer satisfaction and loyalty.

✅ Investigate Fiber Optic Customer Experience

A higher churn tendency among fiber-optic users indicates the need to evaluate pricing, service quality, and customer support for these customers.

✅ Improve Payment Experience

Customers using electronic checks should be encouraged to adopt more convenient payment methods through incentives or automated payment options.

✅ Focus on Senior Citizen Customers

Providing personalized assistance, easier service access, and proactive support could help reduce churn within this segment.